Student activity 1.3

Fill in the missing information

Closing capital ₹	Drawings ₹	Additional capital ₹	Opening capital ₹	Profit / Loss ₹
1,00,000	40,000	20,000	90,000	?
?	30,000	40,000	80,000	20,000
70,000	?	30,000	40,000	10,000
60,000	20,000	?	50,000	- 10,000
2,00,000	30,000	10,000	?	1,20,000

CASE STUDY

Deepa is a sole trader. She does not maintain full set of accounting records. She maintains cash book and personal accounts. She has an assistant who maintains the books of accounts. On the last day of the accounting period, her assistant left the job. On checking the physical cash balance with the cash book, Deepa realised that some cash was missing. She provides you with the following information. Calculate the missing cash.

1) All sales were made on cash basis. There was no income other than sales.
2) She had ₹ 25,000 cash in hand at the beginning of the year and ₹ 12,000 at the end of the year.
3) Sales made during the year were ₹ 80,000.
4) She had taken some of the money for her personal use but does not have record of the same.
5) Capital at the beginning of the year was ₹ 25,000 and at the end of the year was₹ 32,000
6) Profit for the year was ₹ 35,000
7) Purchases and other expenses were ₹ 55,000

To explore further

Is it possible to calculate gross profit when sales data are available but stock records are not kept in detail?

Reference

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